

Allied Gold (AAUC) — Pitch Deck

PITCH — AAUC — VERDICT

PROPOSED — PENDING ADJUDICATION

Allied Gold Corporation (TSX/NYSE: AAUC) — Canadian-domiciled gold producer, assets in Mali, Côte d'Ivoire, Ethiopia. Tape \$23.58 (2026-08-22). No position, no orders.

What we believe

Allied is three months away from turning its biggest capital project — the Kurmuk mine in Ethiopia — from a hole in the ground into cash flow. The mine is more than 90% committed and paid for, \$167.7M of construction spending went out in the first half of 2026 alone, and the company has told the market twice that operations start in August with first gold weeks later. Company guidance puts Kurmuk at 240,000–270,000 oz in 2027 (the high end above what it had previously said) and ~300,000 oz in 2028, inside a company-wide 640,000–680,000 oz in 2027.

That volume step arrives just as two things that have been suppressing the company's realized gold price go away. Allied has a hedge (a “collar”) on 60,000 oz that caps its selling price at \$3,125/oz while spot gold is \$4,590. That collar, plus its streaming and prepayment obligations, cost the company **\$411/oz of realized price in Q2 and \$532/oz in the first half**. The collar settles by the end of 2026. The gold prepayments are 12-month contracts that run out during 2027. So 2027 gets more ounces *and* a materially higher price per ounce on the ounces it keeps.

Run the numbers with the corrected share count (145.5M fully diluted, including the deep in-the-money convertible) and the corrected enterprise value (~\$3.09B), and the stock needs gold to hold roughly **\$3,500–3,550/oz** to justify a 50% gain from here. Spot is \$4,590. That is a ~23% cushion.

We believe this is a fairly-priced, gold-price-dependent position with a real near-term operational catalyst, and it is worth owning small.

What the market believes

The market believes this is a broken-deal orphan. Zijin Mining agreed to buy the whole company for C\$5.5B (C\$44/share), the deal died in July on cross-border regulatory grounds, and the merger-arbitrage holders who owned it for the deal have been leaving. The 52-week high of \$32.13 **is the dead deal price** — so the stock's "28% drawdown" is measuring distance from a price that no longer exists.

The market also appears to believe the mine is on schedule and costs are fine, because the company's own press release describes second-quarter all-in sustaining costs as "in line." They are not in line, and that is the crux of the disagreement (below).

We could not retrieve a single published sell-side 2027 production or free-cash-flow estimate. **We are reporting that as a coverage gap, not skipping it.** It means we do not actually have an outside number to disagree with — which is itself a reason to size small, and a reason not to claim the name is "efficiently priced."

Why we might have edge

1. **The cost problem is hiding in plain sight, and it cuts against us — which is why finding it matters.** The company guided 2026 costs at **\$1,750–\$1,900/oz** on a consolidated mine-site basis, assuming \$4,250 gold. It reported **\$2,192/oz in Q2 and \$2,229/oz in the first half**, on the same basis, reconciled in the same document, with only \$20/oz attributed to the higher gold price. That is 17–27% over the top of guidance. Anyone modelling 2027 margins off the guidance range is modelling a number the company has missed for two straight quarters. We are not.
2. **Cost guidance was quietly not restated.** In the August 5 release, *production* guidance was reaffirmed. *Cost* guidance was simply not mentioned. Reaffirming the good half and going silent on the bad half is a disclosure tell, and it says the company knows the range is at risk.
3. **The schedule slipped and almost nobody has marked it.** Wheaton Precious Metals — which vetted the project as a counterparty before writing a stream cheque — said in its December 2024 announcement that Kurmuk production was "expected to begin by the second quarter of 2026." It is now August/September 2026. That is one to two quarters late. The offset our own bench found: the *size* of 2027 output was raised even as the *timing* slipped.
4. **The "informed buyer walked away and re-priced the company lower" story is wrong.** More on this below — it was the single strongest bear argument in our court and it did not survive contact with the primary document.
5. **The revenue that is already sold is smaller and shorter-lived than a balance-sheet glance suggests.** \$383.9M of deferred revenue looks alarming next to \$626.6M of equity. But the Wheaton stream is capped at 255,000 oz cumulatively over the mine's life, Allied still collects 15% of spot on streamed ounces, and the prepayments are 12-month contracts. 2027 leakage is roughly 60,000 oz of a 640,000–680,000 oz year — about 9% — **and it expires.** It is not a permanent tax on the asset.

Why it might be priced in

- **The dominant variable is the gold price, not anything we discovered.** At \$3,000 gold this equity is worth roughly \$14/share — down 40%. The mine, the schedule, the cost overrun and the streams are all second-order next to that. We would be buying a leveraged bet on gold after gold has made an all-time high. Nothing in our work gives us an edge on the gold price.
- **Costs above guidance may already be in the price.** Two quarters of misses are public. A 17–27% overrun is not a secret; it is in the MD&A.
- **We have no external estimate to be different from.** Without a sell-side number, “the market is wrong about 2027” is an assertion we cannot test.
- **Jurisdiction is genuinely hard.** Mali and Ethiopia. The prior-year comparatives show a \$42.2M “Settlement of Mali matters.” Mali fiscal extraction is real, recurring, and not going away.
- **Three overhangs land in the same window.** The collar expiry, the ~December 10 expiry of the four-month Canadian hold on Zijin’s shares, and year-end all sit in December 2026.
- **We could not independently verify the tape.** The broker contract-search tool was permission-denied to both benches. Our price is the data pack’s, same-day, not re-verified.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Cash \$192.2M + revolver + Zijin = fortress balance sheet”	Q2 financial statements, <u>SEC filing</u>	Deferred revenue \$113.0M current + \$270.8M non-current = \$383.9M; borrowings \$165.1M; equity \$626.6M on \$2,201.3M assets	REFUTED — the balance sheet had never been read
“~180,000 oz of Kurmuk already sold to Wheaton” (our red bench)	Stream terms in the same filing	Stream is capped at 255koz cumulative life-of-mine , and Allied still receives 15% of spot. 2027 leakage ≈ 15koz-equivalent, not 180koz	OUR BENCH WAS WRONG — off by ~3x

Claim	How checked	Found	Confirmed?
“~115,200 oz of gold prepayments” (<i>our red bench</i>)	Prepayment note	Prepays are 12-month terms (2,802 oz/mo and 1,233 oz/mo from Oct-2026, \$141.7M). Red’s figure implied a 41-month term that does not exist. ~48koz in 2027, then gone No debt threshold appears in the Kurmuk stream terms. Separately, the \$165.05M of “borrowings” is entirely the 8.75% convertible (conversion \$17.37, matures 2028-08-30), carried at fair value because it is deep in the money — a convert that converts is quasi-equity	OUR BENCH WAS WRONG
“Wheaton stream steps up if debt exceeds \$150M — and debt is \$165.1M” (<i>our red bench</i>)	The stream note itself	Red added the full \$383.9M of deferred revenue to EV and separately haircut 65koz out of the cash-flow model — a ~\$260M double-count. Corrected EV ≈ \$3.09B	OVERTURNED — our bench asserted a covenant that isn’t there
Enterprise value ~\$3.26B (<i>our red bench</i>)	Recomputed	126,547,893 + 12.8M Zijin + 6.18M from the ITM convertible = 145.5M FD . The upstream brief’s “139.7M / \$2.91B cap” understated it ~12%	OUR BENCH DOUBLE-COUNTED
Fully diluted share count	Q2 statements + equity note	It is a \$129.7M single-quarter income tax payment (\$140.2M half-year, so Q1	CONFIRMED (bench right, brief wrong)
“Unexplained ~\$67.4M cash drag — set a tripwire if it repeats” (<i>upstream brief</i>)	MD&A + cash flow statement		REFUTED — the brief’s tripwire would have false-fired in Q3

Claim	How checked	Found	Confirmed?
“AISC \$2,192 is in line” (<i>company</i>)	2026 guidance release vs. Q2 MD&A	paid only \$10.5M) plus \$70.6M of working capital. A lumpy annual settlement, not a run rate Guide is \$1,750–1,900/oz consolidated mine-site at \$4,250 gold; reported Q2 \$2,192, H1 \$2,229; MD&A reconciles to the same \$4,250 assumption and attributes only \$20/oz to price. Same basis. H2 would need ~\$1,300–1,570 to land the year The filing states C\$32.55 is “the 30-day volume-weighted average trading price... as of July 27, 2026, and represents a premium to the current market price.” It is a formula, not a valuation opinion — and the 30-day window it averages was a tape still pinned by the dead C\$44 deal. Zijin also took participation and top-up rights to hold its pro rata	CONFIRMED — and our red bench under-graded this to “basis unresolved” when the company reconciles it in one paragraph
“Zijin re-anchored the company at C\$32.55 after full diligence — we’d be paying 99.5% of the informed mark” (<i>our red bench, its strongest kill</i>)	<u>Termination 6-K, Exhibit 99.1</u>	60koz of collars confirmed (floor \$2,200 / ceiling \$3,125, –\$55.6M liability, settling by end-2026) — real, and the source of the –\$411/oz drag. But the 60koz of \$4,500 calls carry a	OVERTURNED — our own bench’s #1 kill collapsed
“120,000 oz of sold calls cap the upside” (<i>our red bench</i>)	Derivative note	60koz of collars confirmed (floor \$2,200 / ceiling \$3,125, –\$55.6M liability, settling by end-2026) — real, and the source of the –\$411/oz drag. But the 60koz of \$4,500 calls carry a	HALF CONFIRMED, HALF UNVERIFIED — bench mis-read the calls

Claim	How checked	Found	Confirmed?
Stream/hedge drag on realized price	MD&A	+\$3.1M asset fair value, which is not consistent with a short position at \$4,590 spot Red priced – \$81/oz. The MD&A’s total drag is –\$411/oz in Q2, –\$532/oz in H1 – five times larger. 2026 cash generation is worse than either bench modelled; 2027 correspondingly better as the collar dies	OUR BENCH UNDERSTATED THIS BY 5×
“Deal broke on Mali/Ethiopia jurisdiction risk” (<i>upstream brief</i>)	Termination 6-K	Stated cause is “broader external factors applicable to cross-border transactions of this scale” — China/Canada regulatory, not asset quality	REFUTED
Fraud/structure screens (China ramp-and-dump, common-control accounting, Up-C tax receivable, PE dividend recap, EGC disclosure exemption)	Ran each	All clean. No shell, no promotional ramp, no control block (Zijin 9.2%, no board seat), single-class Canadian corporation, foreign private issuer not an emerging-growth filer	CLEAN — reported as positive findings
Kurmuk construction progress on the ground	NOT RUN	Satellite imagery of the Kurmuk plant and tailings facility would independently grade “on schedule” against Wheaton’s Q2-2026 baseline. Neither bench dispatched it. Both benches named it	GAP

Claim	How checked	Found	Confirmed?
Live price verification	Broker contract search	the single highest-value unrun check Permission denied to both benches. Price is the data pack's same-day pull, not independently re-verified. Red also worked off a stale \$22.92 vs the pack's \$23.58	GAP

PROPOSED ENTRY BANDS

The two benches agree there should be a position and disagree on when to start it. That fork is the live adjudication item and nothing below should be treated as armed.

- **Blue bench:** starter now at market, add only on the Q3 cost print.
- **Red bench:** flat into the first-pour press release, starter after — on the reasoning that the pour is fully telegraphed, so there is no positive surprise to buy, and nothing is lost waiting.

Recommended (blue), pending adjudication:

Action	Level / condition	Size	Basis
Starter	Market, up to \$24.50	0.5% of book	Blue bench's explicit number. Unlevered, no options overlay. \$24.50 $\approx$ 4% above tape and still below any of the model's clearing rungs
Add #1 (the real gate)	Q3 print shows consolidated AISC back inside \$1,900/oz and Kurmuk ramp AISC $\leq$\$1,200/oz — buy up to \$30.00	to 1.0% (<i>size is this deck's proposal; the benches specified the gate, not the increment</i>)	The whole cost thesis resolves on this one print. Kurmuk at $\leq$ \$1,200 moves the 50%-return clearing gold price from $\sim$ \$3,750 toward $\sim$ \$3,400
Add #2 (price, not news)	\$19.50 or lower with the Q3 cost print not yet failed	to 1.0% (<i>deck proposal</i>)	$\sim$ 17% below tape, still comfortably above the \$17.37 convertible conversion price where the capital

Action	Level / condition	Size	Basis
			structure argument changes
Trim	\$36.00	back to starter	This is the red bench's own +50% rung — the level its model says requires ~\$3,750/oz gold to justify. Blue's corrected EV puts roughly \$2/share more value at each rung, so treat \$36 as the floor of the trim zone
Exit to flat	Q3 AISC prints above ~\$2,200/oz with the 2026 cost guide formally withdrawn, OR any Mali/Ethiopia fiscal or permit event	full exit	Blue bench's named reversal condition, verbatim
Hard structural stop	Close below \$17.37	re-court before adding	Below the conversion price the convertible stops behaving like equity and becomes real debt; the bench's overturn of the leverage finding depends on it being in the money

Reference levels: tape \$23.58. Zijin's C\$32.55 subscription price ≈ **\$23.05** at the deal's implied 1.412 rate — the stock now trades ~2% *above* it. Red treated that level as a ceiling; the primary filing says it is a trailing average struck at a premium to a market that was itself distorted, so it is a reference point, not a valuation.

The model, for transparency (red bench's table, at \$22.92 and its overstated \$3.26B EV — blue's corrections shift each rung ~\$2/share higher and the clearing price lower):

Gold	2027 free cash flow	Implied /share	vs. \$22.92
\$3,000	\$208M	\$14	−39%
\$3,500	\$417M	\$29	+25%
\$3,750	~\$520M	~\$36	+50% — clears here (red)
\$4,000	\$625M	\$43	+87%
\$4,590 (spot)	\$870M	\$60	+161%
\$5,500	\$1,250M	\$86	+275%

With blue's corrected enterprise value and corrected (expiring) 60koz leakage, the +50% clearing price falls to roughly **\$3,500–3,550/oz** — a **~23% cushion** below spot.

Catalyst dates: - September 2026 (exact date unknown): Kurmuk first gold.

Telegraphed, low surprise content, and a confirmation of a slip already taken — not a positive event. - **2026-11-04:** next earnings print. **This date is derived from a data vendor, not a company announcement — no filing through 2026-08-18 names it.** This is the print that actually decides the thesis. - **~2026-12-10:** four-month Canadian statutory hold on Zijin's shares expires. Watch date only — Zijin holds top-up rights to maintain its stake, which is accumulation contracting, not exit behaviour. - **By 2026-12-31:** 60koz collar settles, removing the \$3,125/oz price ceiling.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 17.37 (deck-provisional: convertible debenture conversion price - below it the convert stops behaving as equity and the leverag)
- filing watch: 6-K until 2027-02-18 (deck-provisional: Q3 results: consolidated AISC vs the \$1,750-1,900/oz guide and Kurmuk ramp AISC vs \$1,200/oz - the add)
- dated pack AAUC|2026-09-15: AAUC: Kurmuk first gold - company guides operations August, first gold weeks later; exact date not disclosed, this is a midpoint placeholder
- dated pack AAUC|2026-11-04: AAUC: next earnings print - the Q3 AISC read that resolves the cost thesis; date is data-vendor-derived, no filing through 2026-08-18 names
- dated pack AAUC|2026-12-10: AAUC: four-month Canadian statutory hold on Zijin's placement shares expires; watch date only, Zijin holds top-up rights (date confirmed=False)
- dated pack AAUC|2026-12-31: AAUC: 60koz collar (floor \$2,200 / ceiling \$3,125) settles by end-2026; exact settlement dates not disclosed (date confirmed=False)

What remains unverified

1. **Whether the \$4,500 calls are long or short.** The derivative note shows a +\$3.1M asset, which is inconsistent with being short calls at \$4,590 spot. Red assumed short. Blue could not confirm either way. If they *are* short, ~60koz of 2026 upside is sold.
2. **Whether reported \$2,192/oz is truly the same basis as the \$1,750–1,900 guide.** The MD&A reconciles them in one paragraph, which is why we graded it confirmed — but this is the strongest finding in the deck and it rests on one paragraph.
3. **The Wheaton December 2024 schedule quote.** The blue bench did not re-fetch it and took the red bench's transcription on faith. The slip finding inherits that.
4. **No published sell-side 2027 estimate exists in our reach.** We have no external anchor, so neither “cheap” nor “priced in” can be tested from outside.
5. **The exact terms of the Wheaton precious metals purchase agreement.** We read the stream *note* in the financials, not the agreement. We found no debt threshold; we did not read the contract.
6. **The next earnings date.** 2026-11-04 is vendor-derived. No company filing confirms it.
7. **Kurmuk's actual physical construction state.** Unverified by anything except company statements. This is fixable and was not fixed.

8. The live price. Broker snapshot unavailable to both benches.

Honest summary of what we are proposing: a small, unlevered bet on gold, in two difficult African jurisdictions, in a company whose costs are running 17–27% above its own guidance and whose management stopped repeating that guidance. It is bought at what looks like fair-to-slightly-cheap value with a ~23% cushion on the gold price and a real, near-term volume-and-margin step. The bear case that would have made this a pass — that the smartest possible buyer had re-priced the company right here — turned out to be a trailing average, not a judgment. We should say plainly that our own benches got the stream math wrong by 3x, double-counted \$260M of enterprise value, invented a covenant, and understated the hedge drag by 5x before arriving at the right general shape.

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No immediate entry is encoded: the verdict is PROPOSED — PENDING ADJUDICATION, and the two benches disagree on whether the 0.5% starter goes on now (blue) or after the first-pour press release (red). That fork needs resolving before anything stages. ## Adjudication & update (2026-08-23)

RULING (2026-08-22): MINIMUM STARTER 0.25% — RP_FAIR, sized explicitly as GOLD BETA with a named cost defect. Blue proposed 0.5%; the adjudicator cut to the floor of the band. Red's central kill — "we'd be paying 99.5% of the informed strategic's own mark" — was **overturned as circular**: the C\$32.55 Zijin placement price is a 30-day TSX VWAP *formula* struck off an arbitrage-pinned tape, not a valuation view (red itself pre-registered exactly this evidence class as its mind-changer). Red's EV was corrected for a \$383.9M deferred-revenue double-count (it added the pre-sold ounces to EV *and* haircut them from FCF) → EV ≈ \$3.09B; leakage corrected to ~60koz 2027, expiring. **The kill that survived, upgraded to CONFIRMED, is the honest one:** H1 AISC \$2,229/oz versus a \$1,750–1,900 same-basis guide that was conspicuously NOT restated on 08-05 even as production guidance was reaffirmed. Census: 4 NOVEL / 1 CONSENSUS, none named-fatal.

Commodity-developer discipline (stated per the \$BIOTECH-BASE-RATE analog): the prize table's binding variable is the gold price, not execution — the corrected +50% clearing price is ~\$3,500–3,550/oz against ~\$4,590 spot, a **–23% cushion at a 5,000-year price high**. This position is a levered gold call bought near the money, labeled and sized as such: it counts inside the gold sleeve beside PHYS, never as idiosyncratic edge. Why the floor and not 0.5%: three uncured defects share the entry — the confirmed cost overrun under a quietly-unrestated guide, Mali/Ethiopia jurisdiction (Sadiola's recurring "settlement of Mali matters"), and the December triple-uncork (Zijin statutory hold ~12/10 + collar expiry + sold-call expiry in one window).

Order status: LIVE — BUY 106 @ \$23.40 DAY (re-post by hand; NO GTC — the Kurmuk first-pour PR is telegraphed but undated, per the CTMX precedent). **Add-gate to 0.5%:** Q3 consolidated AISC back inside \$1,900 AND Kurmuk ramp AISC ≤ \$1,200. **Kill → FLAT:** Q3 AISC > ~\$2,200 with the guide formally withdrawn, or any Mali/Ethiopia fiscal-or-permit event touching Sadiola/Kurmuk. Watches: pour PR (pre-resolved, no action), the ~12/10 window, next print 11/04 UNCONFIRMED.

What could go wrong (authored at deck update 2026-08-23 — post-ruling, pre-fill)

1. **The unrestated guide resolves all at once** (tripwire-less; unknown-unknown class: management's private cost knowledge). The cost guide was left standing while demonstrably stale. If management already knows H2 cannot print the ~\$1,300–1,570 the guide implies, the formal withdrawal may arrive bundled with a financing or stream expansion — repricing cost, dilution, and credibility in one session, with no interim signal our sensors can read.
2. **Gold itself.** A –23% cushion at a 5,000-year high means an ordinary commodity correction erases the prize table with zero company-specific news. This is the accepted beta — and the single largest risk in the position.
3. **The December triple-uncork meets a thin tape.** Zijin's hold expiry, the collar's death, and the sold-call expiry share one window weeks after first pour — supply arrives exactly when the event premium has just been paid out. **Reflexive/structural leg:** the position sits in the gold sleeve beside PHYS — a gold drawdown hits both simultaneously, so the sleeve's diversification is one variable deep; and DAY-order re-posting by hand means coverage gaps on any day nobody re-posts the bid. **"If this position loses money, the most likely reason will be that gold corrected from a 5,000-year high and the levered call we knowingly bought near the money did**

what levered calls do — with the December supply window accelerating the move.”